



“[We already have over 74,376 hectares under cultivation]... The oil palm plantation business represents a key avenue for the long-term growth of Patanjali Foods”

SANJEEV ASTHANA
CEO, PATANJALI FOODS,
DURING AN INVESTORS' CALL



“[The] legal actions against them have not reflected very well on Patanjali... Ramdev's plans to list two to three other group companies on the market are also on the back burner”

ARUN KEJRIWAL
FOUNDER, KEJRIWAL
RESEARCH & INVESTMENT
SERVICES

₹31,962

CRORE

**REVENUE OF PATANJALI
FOODS IN FY24. FOODS & FMCG
MADE UP 30% OF THE
REVENUES IN THIS FISCAL**

herbal products. We follow over 5,000 research protocols... [and] even conduct animal trials of our drugs.”

However, allopathic specialists like Misra are not impressed. “The main issue is the lack of quality control. These drugs must undergo clinical trials like modern drugs, including experimental animal studies, followed by phase 1 to 3 trials and post-marketing surveillance. Rigorous testing and randomised trials are needed... Unfortunately, many of these standards have not been achieved,” he says.

On Patanjali's skirmish in the Supreme Court, Ramdev says the company is the victim of “flawed and outdated legislation” and a pharma mafia, and the issues are not with its product quality and messaging. The yoga guru is readying a challenge to the Drugs and Magic Remedies (Objectionable Advertisements) Act of 1954, under which it was pulled up.

“Our quality standards have been falsely targeted by a mafia. There is a corporate mafia, a political mafia, an intellectual mafia, and a drug mafia, too. We are their target all the time,” says Ramdev. He hits out at MNCs, particularly Colgate and Nestlé, and has even publicly castigated them in the past.

Harish Bijoor, a brand strategy expert, is not overly worried about these issues. They may not have dented Patanjali's image in the eyes of those who think that MNCs do not want Ayurveda to succeed, he says. “While the whole incident of tendering an apology by the Co-founders may have sullied Patanjali's image, there is a whole segment of people who see this as a play by multinational pharma giants, who do not want the natural, eastern, Ayurveda to succeed.”

THE FMCG TAG

Patanjali is no stranger to trouble. After growing strongly till FY17, sales of its flagship Patanjali Ayurved declined in FY18, going down by 11% year-on-year to ₹8,176 crore from ₹9,187 crore. Market watchers say it reported a sharp sales growth up to FY17 by offloading its inventory on distributors. Only in FY21, after it acquired edible oils maker Ruchi Soya for ₹4,350 crore in a bankruptcy court sale did the group enter the top league with a revenue of ₹30,000 crore. (Ruchi's turnover was ₹16,383 crore.) Then, after Patanjali Ayurved handed over its foods and related businesses to Ruchi and renamed it as Patanjali Foods, revenues grew to ₹31,962 crore in FY24.

Patanjali Foods is the third-largest FMCG player—but based on what consumer goods? It gets 70% of its sales from edible oils, which it got with